EXECUTIVE SUMMARY

1. Introduction

The municipality of Pamplona was created by ecclesiastics and was named Pamplona in 1884 by Vicar Montenegro in memory of his hometown in Spain. It is a fourth class municipality which is situated in the northwestern coast of the Province of Cagayan with an area of 17,176 hectares.

The audit covered the accounts and operations of the Municipality of Pamplona for the year 2018 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2018, were P279,305,709.05, P77,680,597.27 and P201,625,111.78, respectively with an increase of 9.52%, 7.94% and 10.13% respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted toP97,457,558.21 and 76,595,094.37, which increased by 7.40% and 16.96%respectively from last year's figures.

Particulars	2018	2017	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	279,305,709.05	255,037,100.00	24,268,609.05	9.52%
Liabilities	77,680,597.27	71,963,320.23	5,717,277.04	7.94%
Govt. Equity	201,625,111.78	183,073,779.97	18,551,331.81	10.13%
Financial Performance				
Income	97,457,558.21	90,744,316.52	6,713,241.69	7.40%
Expense	76,595,094.37	65,485,538.85	11,109,555.52	16.96%
Appropriations, Allotments and Obligation				
Appropriations	142,775,773.31	159,847,346.12	(17,071,572.81)	(10.68%)
Allotments	142,775,773.31	159,847,346.12	(17,071,572.81)	(10.68%)
Obligations	68,774,739.38	69,041,149.87	(266,410.49)	(0.39%)

3. Independent Auditor's Report on the Financial Statements

We rendered a Modified Opinion on the fairness of the financial statements since the physical existence and condition of the Property, Plant and Equipment, as well as the correctness and validity of the account valued at P84,786,364.94 (net of depreciation) could not be ascertained due to the non-recognition of at least 75% of Local Road and Road Network System in the books of the Municipality. The audit team was not able to apply other alternative audit procedures in determining the correct amount of said accounts.

4. Summary of Significant Audit Observations and Recommendations

1. The municipality was not able to comply with the transition provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of year 2018 as stated under Item IX of COA Circular No. 2015-008 due to the absence of Local Road Inventory and Road Map.

   We recommended that the Municipal Mayor direct the:

   a. GSO to coordinate with the Municipal Engineer to prepare the road map of the municipality to facilitate the preparation of a proper inventory and reporting of the municipality's road network system;

   b. Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the road components for road projects; and thereafter,

   c. Municipal Accountant to record amount of road networks equivalent to the required transition provision percentage every year starting 2016 up to 2019.

2. Undeposited collections totaling to P962,002.62 as of December 31, 2018 increased by P582,037.57 from last year's ending balance of P379,965.05, thereby reflecting that collections were not deposited intact and regularly with the authorized depository bank in violation of Section 69 (1) of Presidential Decree (P.D.) 1445 and Section 62 of the Local Treasury Operations Manual (LTOM) Bureau of Local Government Finance dated October 1, 2007.

   We recommended that the Municipal Treasurer account for all collections of revenues and receipts and deposit immediately with the authorized depository bank to bolster the funds of the Municipality pursuant to Section 69 (1) of Presidential Decree (P.D.) 1445 and Section 62 of the Local Treasury Operations Manual (LTOM) dated October 1, 2007.

3. The municipality paid wages amounting to P1,841,615.00 in hiring an average of thirty seven (37) contract of service personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result in excessive workforce, work duplication and eventual waste of financial resources.

   We recommended that Management formulate Policy Guidelines in hiring contract of service employees, taking into consideration the necessity as to the reasonable number of contract of service employees to be assigned in different offices in order to avoid excessive manpower, work duplication and unnecessary expenditures for wages.

   Ensure that the policy guidelines formulated would not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality but promote optimum utilization of financial resources.

4. Due to National Government Agencies (NGAs) amounting to P5,117,191.30 for different projects and programs implemented by the municipality were not returned to the source agencies or unutilized contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012.

   We recommended that Management return immediately to the source NGAs the idle funds aggregating P5,117,191.30 pursuant to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfer received from National Government Agencies (NGAs) to make these funds available for appropriation to other priority programs, projects and activities of the government.

5. Summary of Total Suspensions, Disallowances, and Charges

For CY 2018, there were no issued audit suspensions and audit disallowance totaling to P80,000.00 was completely settled during the year.

Settlement of audit disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-			-	
Current Year	-			-	
Total	-			-	
Disallowances					
Prior Years	-	P 80,000.00	P 80,000.00	-	
Current Year	-			-	

Total	**-**	**P 80,000.00**	**P 80,000.00**		**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the fifteen (15) audit recommendations in the prior years' report, seven (7) were fully implemented, four (4) was partially implemented and four (4) were not implemented as at year end.